



**MCQ Booklet**  
**SEBI Act, 1992**

## MCQs

**Q1. The Securities and Exchange Board of India Act, 1992 extends to:**

- A. The whole of India except the State of Jammu and Kashmir
- B. The whole of India
- C. Only the metropolitan cities of India
- D. The whole of India except the North Eastern States
- E. Only the states having recognized stock exchanges

**Q2. Under Section 2(ba), a "collective investment scheme" means any scheme or arrangement which satisfies the conditions specified in:**

- A. Section 11B
- B. Section 12A
- C. Section 11AA
- D. Section 15G
- E. Section 10

**Q3. According to Section 3, the head office of the Securities and Exchange Board of India shall be at:**

- A. New Delhi
- B. Calcutta
- C. Bombay
- D. Madras
- E. Bangalore

**Q4. Who appoints the Chairman of the SEBI Board under Section 4(1)(a)?**

- A. The Reserve Bank of India
- B. The Central Government
- C. The Supreme Court of India
- D. The Selection Committee E. The Finance Commission

**Q5. Under Section 4(1)(d), how many members are appointed by the Central Government, and how many of them must be whole-time members?**

- A. Five members, at least two whole-time
- B. Five members, at least three whole-time
- C. Three members, at least two whole-time
- D. Four members, at least three whole-time
- E. Six members, at least three whole-time

**Q6. Under Section 6, the Central Government shall remove a member from office if he:**

- A. Is a director of a company
- B. Has been adjudicated as insolvent
- C. Is absent from three consecutive meetings
- D. Has served for more than 2 years
- E. Disagrees with the Chairman

**Q7. According to Section 7A, if a member has a direct or indirect pecuniary interest in a matter coming up for consideration, he must:**

- A. Resign immediately
- B. Disclose the nature of his interest and not participate in deliberations
- C. Vote only if there is a tie
- D. Seek permission from the Chairman to vote
- E. Transfer the interest to a family member

**Q8. Section 8 provides that no act or proceeding of the Board shall be invalid merely by reason of:**

- A. Any vacancy in the Board
- B. Lack of quorum
- C. Absence of the Chairman
- D. Disagreement among members
- E. Financial loss incurred

**Q9. Under Section 11(1), what is the primary duty of the Board?**

- A. To generate revenue for the government
- B. To protect the interests of investors in securities and to promote the development of and regulate the securities market
- C. To manage the accounts of all listed companies
- D. To provide loans to stock brokers
- E. To audit the Reserve Bank of India

**Q10. Section 11(2)(a) allows the Board to:**

- A. Issue currency notes
- B. Call from or furnish to specified agencies such information as considered necessary for efficient discharge of functions
- C. Arrest any person without a warrant
- D. Impose taxes on income
- E. Close down any company without notice

**Q11. Under Section 11AA(1), a pooling of funds under a scheme involving a corpus amount of \_\_\_\_\_ or more, not registered with the Board, shall be deemed to be a collective investment scheme.**

- A. Fifty crore rupees
- B. One hundred crore rupees
- C. Five hundred crore rupees
- D. Ten crore rupees
- E. Two hundred crore rupees

**Q12. Under Section 11AA(3), which of the following is NOT considered a collective investment scheme?**

- A. A scheme under which contributions are pooled for profits
- B. A scheme where investors do not have day-to-day control
- C. A contract of insurance to which the Insurance Act, 1938 applies
- D. Any scheme with a corpus of 100 crore rupees not registered with the Board

E. A scheme managed on behalf of investors

**Q13. Section 11B empowers the Board to issue directions if it is satisfied that it is necessary:**

A. To increase the government's tax revenue

B. In the interest of investors or orderly development of the securities market

C. To promote international trade

D. To control inflation

E. To regulate banking interest rates

**Q14. The Explanation to Section 11B clarifies that the power to issue directions includes the power to direct any person to:**

A. Undergo imprisonment

B. Pay a fine to the police

C. Disgorge an amount equivalent to wrongful gain made or loss averted

D. Sell all their assets to the government

E. Resign from their employment

**Q15. Under Section 11C, who may the Board appoint to investigate the affairs of an intermediary?**

A. A Police Officer

B. An Investigating Authority

C. A Civil Judge

D. A Public Prosecutor

E. A Chartered Accountant only

**Q16. Under Section 11C(6), if a person fails to produce documents to the Investigating Authority without reasonable cause, the maximum imprisonment prescribed is:**

A. Six months

B. One year

C. Three years

D. Five years

E. Seven years

**Q17. Under Section 11C(8A), the authorized officer may requisition the services of \_\_\_\_\_ to assist him.**

- A. Any police officer or any officer of the Central Government
- B. Only Judicial Officers
- C. Only private security agencies
- D. Only officers of the Reserve Bank
- E. Only members of the press

**Q18. Section 11D empowers the Board to pass an order requiring a person to:**

- A. Pay a penalty of 100 crores immediately
- B. Cease and desist from committing or causing a violation
- C. Close their business permanently
- D. Leave the country
- E. Surrender their passport

**Q19. According to Section 12(1), who among the following must obtain a certificate of registration from the Board to buy, sell, or deal in securities?**

- A. An individual investor
- B. A stock broker
- C. A bank employee
- D. A lawyer
- E. A government servant

**Q20. Under Section 12A(d), no person shall directly or indirectly:**

- A. Buy shares of a public company
- B. Engage in insider trading
- C. Sell shares at a loss
- D. Advise clients on investments
- E. Open a demat account

**Q21. Section 15A(a) prescribes a penalty for failure to furnish any document, return, or report. The minimum penalty is:**

- A. One thousand rupees
- B. Ten thousand rupees
- C. One lakh rupees
- D. Five lakh rupees
- E. Ten lakh rupees

**Q22. The maximum penalty under Section 15A for failure to furnish information is:**

- A. One lakh rupees
- B. Ten lakh rupees
- C. One crore rupees
- D. Twenty-five crore rupees
- E. Fifty crore rupees

**Q23. Section 15G deals with the penalty for:**

- A. Failure to redress investor grievances
- B. Insider trading
- C. Fraudulent and unfair trade practices
- D. Non-disclosure of acquisition of shares
- E. Default by stock brokers

**Q24. Under Section 15G, the penalty for insider trading shall not be less than ten lakh rupees but may extend to:**

- A. One crore rupees
- B. Five crore rupees
- C. Twenty-five crore rupees or three times the amount of profits made, whichever is higher
- D. Ten crore rupees
- E. Fifty crore rupees or five times the profit made

**Q25. Section 15HA prescribes the penalty for:**

- A. Insider trading
- B. Fraudulent and unfair trade practices
- C. Non-payment of fees
- D. Failure to maintain books of accounts
- E. Failure to enter into agreement with clients

**Q26. Under Section 15-I, the Board shall appoint an officer not below the rank of \_\_\_\_\_ to be an adjudicating officer.**

- A. Assistant General Manager
- B. Division Chief
- C. Executive Director
- D. Chairman
- E. Legal Officer

**Q27. According to Section 15J, which factor is NOT explicitly mentioned to be taken into account by the adjudicating officer while adjudging the quantum of penalty?**

- A. The amount of disproportionate gain or unfair advantage
- B. The amount of loss caused to an investor or group of investors
- C. The repetitive nature of the default
- D. The age of the defaulter
- E. None of the above

**Q28. Section 15JA states that all sums realized by way of penalties under the Act shall be credited to:**

- A. The SEBI General Fund
- B. The Investor Protection and Education Fund
- C. The Consolidated Fund of India
- D. The Reserve Bank of India
- E. The Prime Minister's Relief Fund

**Q29. Under Section 15JB(1), a person may file an application to the Board proposing:**



- A. For waiver of all penalties
- B. For settlement of the proceedings initiated for alleged defaults
- C. For transfer of the case to the High Court
- D. For a new investigation
- E. For appointment of a new adjudicating officer

**Q30. Section 15K establishes the:**

- A. Securities Exchange Board
- B. Securities Appellate Tribunal
- C. Stock Exchange Tribunal
- D. Financial Services Tribunal
- E. Investor Grievance Forum

**Q31. Under Section 15L, the Securities Appellate Tribunal shall consist of:**

- A. A Presiding Officer only
- B. A Presiding Officer and one other member
- C. A Presiding Officer and two other members
- D. Two Presiding Officers
- E. Five members

**Q32. A person shall not be qualified for appointment as the Presiding Officer of the SAT under Section 15M(1) unless he is:**

- A. A sitting or retired Judge of the Supreme Court or a sitting or retired Chief Justice of a High Court
- B. A sitting or retired District Judge
- C. An advocate with 10 years of practice
- D. A Chartered Accountant
- E. A member of the SEBI Board

**Q33. Under Section 15N, the Presiding Officer of the SAT shall hold office for a term of:**

- A. Three years

- B. Five years
- C. Six years
- D. Two years
- E. Four years

**Q34. The maximum age limit for holding office as the Presiding Officer of the SAT is:**

- A. Sixty-five years
- B. Sixty-two years
- C. Sixty-eight years
- D. Seventy years
- E. Sixty years

**Q35. Under Section 15T, an appeal against an order of the Board or Adjudicating Officer must be filed within:**

- A. Thirty days
- B. Forty-five days
- C. Sixty days
- D. Ninety days
- E. One hundred and twenty days

**Q36. Under Section 15U(1), the Securities Appellate Tribunal is bound by the procedure laid down by:**

- A. The Code of Criminal Procedure, 1973
- B. The Indian Evidence Act, 1872
- C. The Code of Civil Procedure, 1908
- D. The principles of natural justice
- E. The SEBI (Procedure) Regulations

**Q37. Any person aggrieved by any decision or order of the Securities Appellate Tribunal may file an appeal to the Supreme Court under Section 15Z within:**

- A. Thirty days

- B. Forty-five days
- C. Sixty days
- D. Ninety days
- E. One year

**Q38. Under Section 24(1), if any person contravenes the provisions of the Act, they shall be punishable with imprisonment for a term which may extend to:**

- A. Three years
- B. Five years
- C. Seven years
- D. Ten years
- E. Life imprisonment

**Q39. Section 24A allows for the composition of offences, provided they are not punishable with:**

- A. Fine only
- B. Imprisonment only, or imprisonment and also with fine
- C. Penalty up to one crore
- D. Suspension of license
- E. Warning only

**Q40. Under Section 26D(1), a Special Court shall be deemed to be a:**

- A. Magistrate's Court
- B. Court of Session
- C. High Court
- D. Civil Court
- E. Tribunal

**Q41. Section 27(1) states that where an offence under this Act has been committed by a company, who shall be deemed to be guilty?**

- A. Only the Company

- B. Only the Managing Director
- C. Every person in charge of and responsible to the company for the conduct of business, as well as the company
- D. The shareholders
- E. The auditors

**Q42. Under Section 28A, who may draw up a statement (certificate) specifying the amount due from a person who fails to pay a penalty?**

- A. The Adjudicating Officer
- B. The Recovery Officer
- C. The Chairman
- D. The Police Officer
- E. The Magistrate

**Q43. The recovery modes under Section 28A include all of the following EXCEPT:**

- A. Attachment and sale of movable property
- B. Arrest of the person and detention in prison
- C. Attachment of bank accounts
- D. Public flogging
- E. Appointment of a receiver

**Q44. Section 11(2)(i) empowers the Board to call for information from and conduct inspections of:**

- A. Any private citizen
- B. Stock exchanges, mutual funds, other persons associated with the securities market, intermediaries, and SROs
- C. Only government companies
- D. Foreign governments
- E. Only banks

**Q45. Under Section 11AA(2), which of the following is a condition for a scheme to be a collective investment scheme?**

- A. Investors have day-to-day control over management
- B. Contributions are not pooled
- C. Investors do not have day-to-day control over management and operation
- D. The scheme is for charitable purposes
- E. The scheme involves only family members

**Q46. The Securities and Exchange Board of India (SEBI) was established under Section 3 as a:**

- A. Partnership firm
- B. Body corporate having perpetual succession and a common seal
- C. Limited Liability Partnership
- D. Department of the Ministry of Finance
- E. Private Limited Company

**Q47. Under Section 16, the Board is bound by directions on questions of policy given by:**

- A. The Reserve Bank of India
- B. The Supreme Court
- C. The Central Government
- D. The Parliament
- E. The President of India

**Q48. Section 15H prescribes the penalty for:**

- A. Insider trading
- B. Non-disclosure of acquisition of shares and takeovers
- C. Failure to furnish information
- D. Failure to redress grievances
- E. Fraudulent trade practices

**Q49. Under Section 20A, no civil court shall have jurisdiction in respect of any matter which the Board or the Adjudicating Officer is empowered to determine. This is known as:**

- A. Bar of jurisdiction
- B. Res judicata
- C. Double jeopardy

- D. Writ jurisdiction
- E. Concurrent jurisdiction

**Q50. Under Section 11C(8), if the Investigating Authority believes documents may be destroyed, it may apply for seizure to:**

- A. The Chairman of SEBI
- B. The Magistrate or Judge of the designated court in Mumbai
- C. The Commissioner of Police
- D. The High Court of Delhi
- E. The District Collector

**Q51. Section 11(4) empowers the Board to issue orders pending investigation, including:**

- A. Suspending the trading of any security in a recognized stock exchange
- B. Ordering the liquidation of the company
- C. Dismissing all employees
- D. Changing the name of the company
- E. Selling the company's assets immediately

**Q52. The term "Board" in the Act refers to:**

- A. The Board of Directors of a Company
- B. The Company Law Board
- C. The Securities and Exchange Board of India established under section 3
- D. The Central Board of Direct Taxes E. The Reserve Bank of India Board

**Q53. Under Section 4(3), who has the powers of general superintendence and direction of the affairs of the Board?** A. The Finance Minister B. The Chairman C. The Whole-time Member D. The Secretary E. The Chief General Manager

**Q54. Section 24B empowers the Central Government to grant immunity from prosecution to a person who:**

- A. Pays a double penalty
- B. Has made a full and true disclosure in respect of the alleged violation
- C. Is a public servant

- D. Is a foreign national
- E. Has never committed an offence before

**Q55. Under Section 15C, the penalty for failure to redress investors' grievances is:**

- A. Minimum 50,000 rupees
- B. Minimum one lakh rupees, extending to one lakh per day, max one crore
- C. Fixed at 5 lakh rupees
- D. Minimum ten lakh rupees
- E. Suspension of registration only

**Q56. Under Section 12(3), the Board may suspend or cancel a certificate of registration:**

- A. Without giving any notice
- B. After giving a reasonable opportunity of being heard
- C. Immediately upon receiving a complaint
- D. Only with the permission of the Central Government
- E. Only if the person is convicted by a court

**Q57. Section 11(2)(ia) allows the Board to call for information and records from:**

- A. Only intermediaries
- B. Any person including any bank or any other authority relevant to any investigation
- C. Only stock brokers
- D. Only public companies
- E. Only mutual funds

**Q58. Under Section 15-I(3), the Board may review the order of the adjudicating officer and enhance the penalty if:**

- A. The penalty is too high
- B. The order is erroneous to the extent it is not in the interests of the securities market
- C. The person appeals for it
- D. The Central Government directs it
- E. The Chairman disagrees personally

**Q59. The time limit for the Board to review an adjudicating officer's order under Section 15-I(3) expires after:**

- A. One month
- B. Three months from the date of the order
- C. Six months
- D. One year
- E. Two years

**Q60. Section 26A empowers the Central Government to establish:**

- A. Fast Track Courts
- B. Special Courts
- C. Family Courts
- D. Consumer Courts
- E. Labour Courts

**Q61. Under Section 26B, offences under the Act are triable by:**

- A. Any Magistrate
- B. The Special Court established for the area
- C. The High Court directly
- D. The Supreme Court
- E. The District Collector

**Q62. Section 15V provides the right to legal representation before the SAT to:**

- A. Chartered Accountants only
- B. Company Secretaries only
- C. Legal Practitioners only
- D. Chartered Accountants, Company Secretaries, Cost Accountants, Legal Practitioners, or officers
- E. Only the appellant in person

**Q63. The General Fund of SEBI is constituted under:**



- A. Section 10
- B. Section 12
- C. Section 14
- D. Section 16
- E. Section 18

**Q64. Under Section 15F(a), penalty is prescribed for a stock broker who fails to:**

- A. Pay income tax
- B. Issue contract notes in the specified form
- C. Attend board meetings
- D. Wear a uniform
- E. Recruit staff

**Q65. Section 27(2) provides that a director, manager, or secretary is liable if the offence by the company is attributable to:**

- A. Any neglect on their part
- B. Actions of the shareholders
- C. Market conditions
- D. Government policy
- E. Force majeure

**Q66. Under Section 11(5), the amount disgorged pursuant to a direction shall be credited to:**

- A. The Consolidated Fund of India
- B. The Investor Protection and Education Fund
- C. The Prime Minister's Relief Fund
- D. The SEBI General Fund
- E. The RBI Surplus Fund

**Q67. Under Section 15HB, the penalty for contravention where no separate penalty has been provided is:**

- A. Up to ten thousand rupees
- B. Not less than one lakh rupees but may extend to one crore rupees
- C. Up to five lakh rupees
- D. Not less than ten lakh rupees
- E. Simple warning

**Q68. Section 10 deals with the transfer of assets and liabilities from:**

- A. The RBI to SEBI
- B. The existing Securities and Exchange Board to the Board established under the Act
- C. The Company Law Board to SEBI
- D. The Stock Exchanges to SEBI
- E. The Central Government to SEBI

**Q69. Under Section 6(c), a member can be removed if convicted of an offence involving:**

- A. Traffic violation
- B. Moral turpitude
- C. Breach of contract
- D. Defamation
- E. Negligence

**Q70. Section 19 allows the Board to delegate its powers (except powers under section 29) to:**

- A. The Central Government
- B. Any member, officer of the Board, or any other person
- C. The Reserve Bank
- D. The Supreme Court
- E. The Stock Exchanges

**Q71. Under Section 11A(1)(b), the Board may prohibit any company from:**

- A. Recruiting employees
- B. Issuing prospectus, offer document, or advertisement soliciting money from the public

- C. Opening bank accounts
- D. Purchasing land
- E. Paying dividends

**Q72. Section 15E prescribes a penalty for asset management companies that fail to comply with regulations regarding:**

- A. Restrictions on their activities
- B. Employee dress code
- C. Office timings
- D. Holiday lists
- E. Parking spaces

**Q73. Who appoints the Presiding Officer of the SAT under Section 15M(1A)?**

- A. The President of India
- B. The Central Government in consultation with the Chief Justice of India or his nominee
- C. The SEBI Chairman
- D. The Parliament
- E. The Law Minister

**Q74. Under Section 24(2), failure to pay the penalty imposed by the adjudicating officer is punishable with imprisonment for a term not less than:**

- A. One week
- B. One month
- C. Six months
- D. One year
- E. Three years

**Q75. Under Section 17, the Central Government may supersede the Board for a period not exceeding:**

- A. Three months
- B. Six months

- C. One year
- D. Two years
- E. Five years

**Q76. Section 25 provides exemption to the Board from:**

- A. Stamp duty
- B. Wealth-tax and Income-tax
- C. GST
- D. Customs duty
- E. Excise duty

**Q77. Under Section 15U(2), the SAT has the same powers as a civil court regarding:**

- A. Summoning and enforcing attendance of any person
- B. Arresting criminals
- C. Collecting income tax
- D. Issuing passports
- E. Conducting post-mortems

**Q78. Section 15-O states that the salary and allowances of the Presiding Officer of SAT shall not be:**

- A. Increased after appointment
- B. Varied to their disadvantage after appointment
- C. Paid in cash
- D. Taxable
- E. More than the Prime Minister's

**Q79. Under Section 12(1B), no person shall sponsor or carry on a venture capital fund or collective investment scheme unless:**

- A. They have a capital of 500 crores
- B. They obtain a certificate of registration from the Board
- C. They are a government company

- D. They are a bank
- E. They have 10 years of experience

**Q80. Section 11(2)(e) lists one of the measures of the Board as prohibiting:**

- A. Short selling
- B. Fraudulent and unfair trade practices relating to securities markets
- C. Foreign investment
- D. algorithmic trading
- E. Mutual funds

**Q81. Under Section 23, protection is granted for action taken in:**

- A. Haste
- B. Good faith
- C. Ignorance
- D. Retaliation
- E. Secret

**Q82. The "Investigating Authority" is mentioned in which section?**

- A. Section 11A
- B. Section 11C
- C. Section 12
- D. Section 15
- E. Section 20

**Q83. Under Section 15Q(2), the Presiding Officer of SAT can be removed only after an inquiry made by:**

- A. The SEBI Chairman
- B. A Judge of the Supreme Court
- C. The Central Vigilance Commissioner
- D. The CBI
- E. The President

**Q84. Section 26(1) states that no court shall take cognizance of an offence under the Act save on a complaint made by:**

- A. Any citizen
- B. The Board
- C. The Police
- D. The Investor
- E. The Company

**Q85. Under Section 11(2A), the Board may undertake inspection of books of a listed public company if it has reasonable grounds to believe the company has been indulging in:**

- A. Tax evasion
- B. Insider trading or fraudulent and unfair trade practices
- C. Labour law violations
- D. Environmental damage
- E. Political funding

**Q86. Section 26E contains:**

- A. Penalties
- B. Transitional provisions regarding Special Courts
- C. Definitions
- D. Rules for meetings
- E. Repeal and saving

**Q87. The term "securities" in the SEBI Act has the meaning assigned to it in:**

- A. The Companies Act, 2013
- B. The Securities Contracts (Regulation) Act, 1956
- C. The Reserve Bank of India Act, 1934
- D. The Banking Regulation Act, 1949
- E. The General Clauses Act, 1897

**Q88. Under Section 15B, the penalty for failure to enter into an agreement with clients applies to:**

- A. Listed companies
- B. Registered intermediaries
- C. Investors
- D. Stock Exchanges
- E. Depositories

**Q89. Which section deals with "Cease and desist proceedings"?**

- A. Section 11A
- B. Section 11B
- C. Section 11D
- D. Section 12A
- E. Section 15-I

**Q90. Under Section 15T(6), the SAT shall endeavor to dispose of the appeal finally within:**

- A. Three months
- B. Six months
- C. Nine months
- D. One year
- E. Two years

**Q91. Section 15W states that the provisions of the \_\_\_\_\_ shall apply to an appeal made to SAT.**

- A. Criminal Procedure Code
- B. Limitation Act, 1963
- C. Specific Relief Act
- D. Contract Act
- E. Arbitration Act

**Q92. Under Section 15-I(2), the adjudicating officer has the power to:**

- A. Arrest the defaulter
- B. Summon and enforce the attendance of any person acquainted with the facts
- C. Seize property immediately
- D. Suspend the passport
- E. Close the bank account

**Q93. Section 22 deems members, officers, and employees of the Board to be:**

- A. Civil servants
- B. Public servants within the meaning of Section 21 of the IPC
- C. Private employees
- D. Judicial officers
- E. Agents of the government

**Q94. Under Section 15H(ii), a penalty applies if a person fails to:**

- A. Pay dividends
- B. Make a public announcement to acquire shares at a minimum price
- C. Attend the AGM
- D. Appoint an auditor
- E. Issue bonus shares

**Q95. Section 26C allows the High Court to exercise powers conferred by the Code of Criminal Procedure regarding:**

- A. Investigation
- B. Appeal and revision
- C. Arrest
- D. Bail
- E. Search

**Q96. Under Section 9(1), who appoints officers and employees of the Board?**

- A. The Central Government
- B. The Board itself



- C. The UPSC
- D. The SSC
- E. The Chairman only

**Q97. Section 20 deals with appeals to the Central Government against orders made:**

- A. After 1999
- B. Before the commencement of the Securities Laws (Second Amendment) Act, 1999
- C. By the SAT
- D. By the Supreme Court
- E. By the Stock Exchange

**Q98. Under Section 11(3), the Board has the same powers as a civil court in respect of:**

- A. Discovery and production of books of account
- B. Issuing search warrants for houses
- C. Trying criminal cases
- D. Granting divorce
- E. Settling property disputes

**Q99. Section 28A(3) states that recovery of amounts by a Recovery Officer shall have precedence over:**

- A. Government dues
- B. Any other claim against such person
- C. Secured creditors
- D. Employee salaries
- E. Bank loans

**Q100. Under Section 15S, who provides the SAT with officers and employees?**

- A. The SEBI Board
- B. The Central Government
- C. The Supreme Court
- D. The State Government

E. The Presiding Officer

**Q101. Which section prohibits manipulative and deceptive devices?**

A. Section 11

B. Section 12A

C. Section 15

D. Section 10

E. Section 9

**Q102. Under Section 4(1)(b), two members of the Board are from amongst the officials of the:**

A. Ministry of Law

B. Ministry of Central Government dealing with Finance and administration of the Companies Act, 1956

C. Ministry of Commerce

D. Ministry of Home Affairs

E. Prime Minister's Office

**Q103. Section 11B(b) allows directions to be issued to any company in respect of matters specified in:**

A. Section 10

B. Section 11A

C. Section 12

D. Section 15

E. Section 16

**Q104. Under Section 15T(3), the SAT may entertain an appeal after 45 days if:**

A. The appellant pays a double fee

B. It is satisfied that there was sufficient cause for not filing it within that period

C. The Board agrees

D. The Central Government directs

E. The amount involved is large

**Q105. Section 31 requires every rule and regulation made under the Act to be laid before:**

A. The Chairman

B. Each House of Parliament

C. The Supreme Court

D. The President

E. The Public

**Q106. Under Section 15G(iii), a penalty applies if an insider:**

A. Resigns

B. Counsels or procures for any other person to deal in securities on the basis of unpublished price-sensitive information

C. Buys shares publicly

D. Sells shares after disclosure

E. Attends a board meeting

**Q107. Section 11(2)(g) lists prohibiting \_\_\_\_\_ as a measure.**

A. Outsider trading

B. Insider trading in securities

C. Online trading

D. Day trading

E. Margin trading

**Q108. Under Section 6, a member shall be removed if he has been convicted of an offence involving:**

A. Negligence

B. Moral turpitude

C. Traffic violation

D. Civil dispute

E. Tax arrears

**Q109. Section 15A(b) prescribes a penalty for failure to:**

- A. File any return or furnish information within specified time
- B. Pay salary
- C. Clean the office
- D. Wear an ID card
- E. Attend a seminar

**Q110. Who determines the terms and conditions of service of the Chairman and members under Section 5(1)?**

- A. The Board
- B. As may be prescribed (by Rules)
- C. The Parliament
- D. The President
- E. The RBI Governor

**Q111. Under Section 15JB(2), the Board may agree to a settlement proposal after considering:**

- A. The financial status of the defaulter
- B. The nature, gravity, and impact of defaults
- C. The political connections
- D. The media reports
- E. The age of the defaulter

**Q112. Section 24(1) states that imprisonment for contravention of the Act may extend to 10 years or fine up to:**

- A. One crore
- B. Twenty-five crore rupees
- C. Ten crore
- D. Five crore
- E. Fifty crore

**Q113. Under Section 11(2)(c), the Board registers and regulates the working of:**

- A. Venture capital funds and collective investment schemes
- B. Only banks
- C. Only insurance companies
- D. Only chit funds
- E. Only nidhi companies

**Q114. Section 29 empowers \_\_\_\_\_ to make rules.**

- A. The Board
- B. The Central Government
- C. The Parliament
- D. The Supreme Court
- E. The State Government

**Q115. Section 30 empowers \_\_\_\_\_ to make regulations.**

- A. The Central Government
- B. The Board
- C. The SAT
- D. The RBI
- E. The Stock Exchange

**Q116. Under Section 15Y, no injunction shall be granted by any court in respect of any action taken in pursuance of a power conferred by the Act. This protects:**

- A. The defaulter
- B. The investigative process and adjudication
- C. The civil courts
- D. The police
- E. The press

**Q117. Section 15D(b) prescribes a penalty for a registered collective investment scheme that fails to:**

- A. Make a profit as per terms and conditions
- B. Comply with the terms and conditions of the certificate of registration
- C. Advertise on TV
- D. Hire 100 employees
- E. Open a branch in Mumbai

**Q118. Under Section 11C(2), it is the duty of every manager, managing director, etc., to:**

- A. Help with the investigation
- B. Preserve and produce all books, registers, and documents to the Investigating Authority
- C. Destroy documents
- D. Reveal assets books, registers, and documents to the Investigating Authority
- E. Leave the country

**Q119. Section 15R states that no act or proceeding before SAT shall be called in question merely on the ground of:**

- A. Wrong judgment
- B. Any defect in the constitution of the SAT
- C. High fees
- D. Long delay
- E. Lack of evidence

**Q120. Under Section 11(2)(h), the Board regulates:**

- A. Substantial acquisition of shares and takeover of companies
- B. The price of shares
- C. The dividends declared
- D. The salaries of CEOs
- E. The export of goods

**Q121. Section 15X deems the Presiding Officer and staff of SAT to be:**

- A. Judicial Officers
- B. Public servants

- C. Private employees
- D. Contract workers
- E. Civil servants

**Q122. Under Section 24A, offences can be compounded by:**

- A. The Police
- B. A Securities Appellate Tribunal or a court before which such proceedings are pending
- C. The Board Chairman
- D. The RBI
- E. The Investigating Authority

**Q123. Section 15A(c) deals with penalty for failure to:**

- A. Maintain books of account or records
- B. Pay rent
- C. Hire an auditor
- D. Buy a computer
- E. Print receipts

**Q124. Under Section 12(1A), no depository or participant shall deal in securities except under:**

- A. A general license
- B. A certificate of registration obtained from the Board
- C. A verbal permission
- D. A court order
- E. A bank guarantee

**Q125. Section 15-I(1) requires the adjudicating officer to hold an inquiry in the prescribed manner after giving:**

- A. A warning
- B. A reasonable opportunity of being heard
- C. A fine notice

- D. An arrest warrant
- E. A show cause notice only

**Q126. Under Section 11(2)(j), the Board performs functions delegated to it by the Central Government under:**

- A. The Companies Act
- B. The Securities Contracts (Regulation) Act, 1956
- C. The RBI Act D. The Banking Regulation Act
- E. The FEMA

**Q127. Section 34A validates acts done in respect of calling for information from:**

- A. Authorities having functions similar to the Board (whether in India or outside)
- B. Any private person
- C. Only tax authorities
- D. Only banks
- E. Only stock exchanges

**Q128. Under Section 15G(ii), communicating unpublished price-sensitive information is penalized unless required in:**

- A. A private conversation
- B. The ordinary course of business or under any law
- C. A press conference
- D. A social gathering
- E. An email

**Q129. Section 15J(a) mentions "the amount of \_\_\_\_\_" as a factor for adjudication.**

- A. Tax paid
- B. Disproportionate gain or unfair advantage
- C. Salary earned
- D. Fees collected
- E. Capital invested



**Q130. Under Section 11(2)(ba), the Board registers and regulates:**

- A. Depositories, participants, custodians, FIIs, credit rating agencies
- B. Only banks
- C. Only insurance agents
- D. Only real estate agents
- E. Only commodities traders

**Q131. Section 28A(1) empowers the Recovery Officer to attach and sell:**

- A. Only movable property
- B. Only immovable property
- C. Both movable and immovable property
- D. Only business assets
- E. Only shares

**Q132. Under Section 15-O, the terms of service of the Presiding Officer of SAT are prescribed by:**

- A. Regulations
- B. Rules (by Central Government)
- C. The Supreme Court
- D. The SEBI Board
- E. The President

**Q133. Section 15F(b) prescribes a penalty for a stock broker who fails to:**

- A. Deliver any security or make payment of the amount due to the investor
- B. Open an office
- C. Buy a computer
- D. Wear a tie
- E. Speak English

**Q134. Under Section 11C(3), the Investigating Authority may require any intermediary to:**

- A. Close down

- B. Furnish information or produce books/documents
- C. Pay a bribe
- D. Hire a lawyer
- E. Admit guilt

**Q135. Section 20(2) states that no appeal shall be admitted if preferred after:**

- A. The expiry of the prescribed period
- B. 10 days
- C. 20 days
- D. 60 days
- E. 90 days

**Q136. Under Section 11(1), the Board acts to regulate the securities market by:**

- A. Such measures as it thinks fit
- B. Only issuing warnings
- C. Only imposing fines
- D. Only conducting audits
- E. Only advising the government

**Q137. Section 15H(i) penalizes failure to:**

- A. Disclose the aggregate of shareholding before acquiring shares
- B. Buy shares
- C. Sell shares
- D. Vote
- E. Attend meetings

**Q138. Under Section 26(2), which court could try offences?**

- A. Any Court
- B. Special Court
- C. Civil Court

D. Consumer Court

E. Revenue Court

**Q139. Section 15-I(2) allows the adjudicating officer to summon any person to:**

A. Give evidence or produce documents

B. Be arrested

C. Pay a fine immediately

D. Serve the fine

E. Serve punishment directly

**Q140. Under Section 15T(5), the SAT shall send a copy of every order to:**

A. The Board, the parties, and the Adjudicating Officer

B. Only the Board

C. Only the Appellant

D. The Supreme Court

E. The Press

**Q141. Section 2 defines "member" to include:**

A. The Chairman

B. Employees

C. Brokers

D. Investors

E. Lawyers

**Q142. Under Section 11(2)(d), the Board promotes and regulates:**

A. Self-regulatory organizations

B. Trade unions

C. Political parties

D. NGOs

E. Clubs

**Q143. Section 15C applies to:**

- A. Listed companies or registered intermediaries
- B. Unlisted private companies
- C. Individual investors
- D. Government departments
- E. Foreign companies only

**Q144. Under Section 27(1) Proviso, a person is not liable if they prove:**

- A. They were on leave
- B. The offence was committed without their knowledge or they exercised due diligence
- C. They are retired
- D. They are a nominee director
- E. They hold small shares

**Q145. Section 11(2)(k) allows the Board to:**

- A. Levy fees or other charges
- B. Print money
- C. Collect income tax
- D. Impose customs duty
- E. Sell government land

**Q146. Under Section 12A(e), no person shall deal in securities while in possession of:**

- A. Material or non-public information
- B. Public information
- C. Published reports
- D. Old newspapers
- E. Annual reports

**Q147. Section 15HA was inserted to specifically penalize:**

- A. Fraudulent and unfair trade practices

- B. Late filing
- C. Non-payment of rent
- D. Technical glitches
- E. Staff absence

**Q148. Under Section 11C(11), searches and seizures shall be carried out in accordance with:**

- A. The Code of Criminal Procedure, 1973
- B. The Civil Procedure Code
- C. The SEBI Regulations
- D. The Income Tax Act
- E. The Customs Act

**Q149. Section 26A(2) states that a Special Court shall consist of:**

- A. A single judge
- B. Two judges
- C. Three judges
- D. Five judges
- E. A jury

**Q150. Under Section 28A(1)(c), the Recovery Officer can attach and sell:**

- A. Immovable property
- B. Public property
- C. Government property
- D. Temple property
- E. Embassy property

**Q151. Section 15JB(4) states that against an order passed under settlement proceedings:**

- A. An appeal lies to SAT
- B. An appeal lies to High Court
- C. No appeal shall lie

- D. An appeal lies to Supreme Court
- E. An appeal lies to the President

**Answer Key & Explanations**

- Q1. B – Section 1(2):** It extends to the whole of India.
- Q2. C – Section 2(ba):** Defines "collective investment scheme" as any scheme or arrangement satisfying conditions in Section 11AA.
- Q3. C – Section 3(3):** The head office of the Board shall be at Bombay.
- Q4. B – Section 4(1)(a) & (4):** The Chairman is appointed by the Central Government.
- Q5. A – Section 4(1)(d):** Five other members, of whom at least three shall be whole-time members, appointed by the Central Government.
- Q6. B – Section 6(a):** The Central Government shall remove a member if he is adjudicated as insolvent.
- Q7. B – Section 7A:** A member must disclose the interest and not participate in deliberations or decisions regarding that matter.
- Q8. A – Section 8(a):** Proceedings are not invalid merely due to any vacancy in the Board.
- Q9. B – Section 11(1):** Duty is to protect investor interests, promote development, and regulate the securities market.
- Q10. B – Section 11(2)(la):** Allows calling from or furnishing information to specified agencies.
- Q11. B – Section 11AA(1) Proviso:** Pooling of funds involving 100 crore rupees or more, not registered, is deemed a CIS.
- Q12. C – Section 11AA(3)(iii):** A contract of insurance under the Insurance Act, 1938 is excluded from CIS.
- Q13. B – Section 11B:** Directions can be issued in the interest of investors or orderly development of the market.
- Q14. C – Section 11B Explanation:** Includes power to direct disgorgement of wrongful gain or loss averted.
- Q15. B – Section 11C(1):** The Board directs the "Investigating Authority" to investigate.
- Q16. B – Section 11C(6):** Punishable with imprisonment extending to one year, or fine, or both.
- Q17. A – Section 11C(8A):** Authorized officer may requisition services of any police officer or Central Govt officer.
- Q18. B – Section 11D:** Power to pass an order requiring a person to cease and desist from violation.
- Q19. B – Section 12(1):** Stock brokers, sub-brokers, etc., must obtain a certificate of registration.

- Q20. B – Section 12A(d):** Prohibition on engaging in insider trading.
- Q21. C – Section 15A(a):** Penalty shall not be less than one lakh rupees.
- Q22. C – Section 15A(a):** Penalty extends to one lakh per day subject to a maximum of one crore rupees.
- Q23. B – Section 15G:** Deals with Penalty for insider trading.
- Q24. C – Section 15G:** Penalty not less than 10 lakhs, extending to 25 crores or 3 times profit, whichever is higher.
- Q25. B – Section 15HA:** Penalty for fraudulent and unfair trade practices.
- Q26. B – Section 15-I(1):** Officer not below the rank of a Division Chief.
- Q27. D – Section 15J:** Age is not a factor; disproportionate gain, loss to investors, and repetitive nature are factors.
- Q28. C – Section 15JA:** Penalties realized are credited to the Consolidated Fund of India.
- Q29. B – Section 15JB(1):** Application for settlement of proceedings.
- Q30. B – Section 15K:** Establishment of Securities Appellate Tribunals.
- Q31. C – Section 15L:** Presiding Officer and two other members.
- Q32. A – Section 15M(1):** Must be sitting/retired SC Judge or sitting/retired CJ of High Court (or HC Judge with 7 years service per amended text).
- Q33. B – Section 15N:** Term of five years.
- Q34. D – Section 15N Proviso:** Maximum age is 70 years.
- Q35. B – Section 15T(3):** Appeal filed within forty-five days.
- Q36. D – Section 15U(1):** Guided by principles of natural justice, not bound by CPC.
- Q37. C – Section 15Z:** Appeal to Supreme Court within sixty days.
- Q38. D – Section 24(1):** Imprisonment may extend to ten years.
- Q39. B – Section 24A:** Offences punishable with imprisonment only, or imprisonment and fine, cannot be compounded.
- Q40. B – Section 26D(1):** Deemed to be a Court of Session.
- Q41. C – Section 27(1):** Person in charge and responsible to the company, as well as the company.
- Q42. B – Section 28A(1):** The Recovery Officer draws up the statement.



- Q43. D – Section 28A(1):** Public flogging is not a mode of recovery.
- Q44. B – Section 11(2)(i):** Stock exchanges, mutual funds, intermediaries, SROs, etc.
- Q45. C – Section 11AA(2)(iv):** Investors do not have day-to-day control over management.
- Q46. B – Section 3(2):** Body corporate having perpetual succession and a common seal.
- Q47. C – Section 16(1):** Bound by directions on questions of policy from Central Government.
- Q48. B – Section 15H:** Penalty for non-disclosure of acquisition of shares and takeovers.
- Q49. A – Section 20A:** Entitled "Bar of jurisdiction".
- Q50. B – Section 11C(8):** Application to the Magistrate or Judge of the designated court in Mumbai.
- Q51. A – Section 11(4)(a):** Suspend the trading of any security in a recognized stock exchange.
- Q52. C – Section 2(a):** "Board" means the Securities and Exchange Board of India.
- Q53. B – Section 4(3):** The Chairman.
- Q54. B – Section 24B(1):** Full and true disclosure regarding the alleged violation.
- Q55. B – Section 15C:** Not less than one lakh, extending to one lakh per day, max one crore.
- Q56. B – Section 12(3) Proviso:** Must give a reasonable opportunity of being heard.
- Q57. B – Section 11(2)(ia):** Any person including any bank or authority relevant to investigation.
- Q58. B – Section 15-I(3):** If the order is erroneous to the extent it is not in the interests of the securities market.
- Q59. B – Section 15-I(3) Proviso:** Expiry of three months from the date of the order or disposal of appeal.
- Q60. B – Section 26A(1):** Establishment of Special Courts.
- Q61. B – Section 26B:** Tried by the Special Court established for the area.
- Q62. D – Section 15V:** CA, CS, Cost Accountant, Legal Practitioner, or officer.
- Q63. C – Section 14:** SEBI General Fund.
- Q64. B – Section 15F(a):** Failure to issue contract notes.
- Q65. A – Section 27(2):** Consent, connivance, or neglect.
- Q66. B – Section 11(5):** Investor Protection and Education Fund.

- Q67. B – Section 15HB:** Not less than one lakh but may extend to one crore rupees.
- Q68. B – Section 10:** Existing Securities and Exchange Board to the Board.
- Q69. B – Section 6(c):** Offence involving moral turpitude.
- Q70. B – Section 19:** Any member, officer of the Board, or any other person.
- Q71. B – Section 11A(1)(b):** Prohibit issuing prospectus/offer document/advertisement soliciting money.
- Q72. A – Section 15E:** Regulations providing for restrictions on activities of asset management companies.
- Q73. B – Section 15M(1A):** Central Government in consultation with CJI or his nominee.
- Q74. B – Section 24(2):** Imprisonment not less than one month.
- Q75. B – Section 17(1):** Not exceeding six months.
- Q76. B – Section 25:** Exempt from Wealth-tax and Income-tax.
- Q77. A – Section 15U(2)(a):** Summoning and enforcing attendance.
- Q78. B – Section 15-O Proviso:** Shall not be varied to their disadvantage after appointment.
- Q79. B – Section 12(1B):** Must obtain a certificate of registration.
- Q80. B – Section 11(2)(e):** Prohibiting fraudulent and unfair trade practices.
- Q81. B – Section 23:** Action taken in good faith.
- Q82. B – Section 11C:** Entitled "Investigation".
- Q83. B – Section 15Q(2):** Inquiry made by a Judge of the Supreme Court.
- Q84. B – Section 26(1):** Complaint made by the Board.
- Q85. B – Section 11(2A):** Insider trading or fraudulent and unfair trade practices.
- Q86. B – Section 26E:** Transitional provisions.
- Q87. B – Section 2(1)(i):** Securities Contracts (Regulation) Act, 1956.
- Q88. B – Section 15B:** Person registered as an intermediary.
- Q89. C – Section 11D:** Cease and desist proceedings.
- Q90. B – Section 15T(6):** Within six months.
- Q91. B – Section 15W:** Limitation Act, 1963.

- Q92. B – Section 15-I(2):** Summon and enforce attendance to give evidence/produce documents.
- Q93. B – Section 22:** Public servants within meaning of Section 21 IPC.
- Q94. B – Section 15H(ii):** Make a public announcement to acquire shares at minimum price.
- Q95. B – Section 26C:** Powers regarding appeal and revision.
- Q96. B – Section 9(1):** The Board may appoint.
- Q97. B – Section 20(1):** Orders made before the Securities Laws (Second Amendment) Act, 1999.
- Q98. A – Section 11(3)(i):** Discovery and production of books of account.
- Q99. B – Section 28A(3):** Precedence over any other claim.
- Q100. B – Section 15S(1):** Central Government provides officers and employees.
- Q101. B – Section 12A:** Prohibition of manipulative and deceptive devices, etc.
- Q102. B – Section 4(1)(b):** Officials of the Ministry dealing with Finance and Company Affairs.
- Q103. B – Section 11B(b):** Matters specified in Section 11A.
- Q104. B – Section 15T(3) Proviso:** Sufficient cause for not filing within the period.
- Q105. B – Section 31:** Laid before each House of Parliament.
- Q106. B – Section 15G(iii):** Counsels or procures for any other person to deal.
- Q107. B – Section 11(2)(g):** Insider trading.
- Q108. B – Section 6(c):** Offence involving moral turpitude.
- Q109. A – Section 15A(b):** Failure to file return or furnish information.
- Q110. B – Section 5(1):** As may be prescribed (by Rules made by Central Govt).
- Q111. B – Section 15JB(2):** Nature, gravity, and impact of defaults.
- Q112. B – Section 24(1):** Fine extending to twenty-five crore rupees.
- Q113. A – Section 11(2)(c):** Venture capital funds and collective investment schemes.
- Q114. B – Section 29(1):** Central Government makes rules.
- Q115. B – Section 30(1):** The Board makes regulations.
- Q116. B – Section 15Y:** No injunction against action taken in pursuance of power under Act.
- Q117. B – Section 15D(b):** Failure to comply with terms of certificate.

- Q118. B – Section 11C(2):** Duty to preserve and produce documents.
- Q119. B – Section 15R:** Defect in constitution of SAT.
- Q120. A – Section 11(2)(h):** Substantial acquisition of shares and takeover.
- Q121. B – Section 15X:** Public servants.
- Q122. B – Section 24A:** SAT or a court before which proceedings are pending.
- Q123. A – Section 15A(c):** Failure to maintain books of account or records.
- Q124. B – Section 12(1A):** Certificate of registration.
- Q125. B – Section 15-I(1):** Reasonable opportunity of being heard.
- Q126. B – Section 11(2)(j):** Securities Contracts (Regulation) Act, 1956.
- Q127. A – Section 34A:** Authorities having functions similar to the Board.
- Q128. B – Section 15G(ii):** Required in ordinary course of business or under law.
- Q129. B – Section 15J(a):** Disproportionate gain or unfair advantage.
- Q130. A – Section 11(2)(ba):** Depositories, participants, FIs, etc.
- Q131. C – Section 28A(1)(a)&(c):** Movable and immovable property.
- Q132. B – Section 15-O:** Prescribed (Rules made by Govt).
- Q133. A – Section 15F(b):** Failure to deliver security or make payment.
- Q134. B – Section 11C(3):** Furnish information or produce books/documents.
- Q135. A – Section 20(2) Proviso:** Can be admitted if sufficient cause shown.
- Q136. A – Section 11(1):** Such measures as it thinks fit.
- Q137. A – Section 15H(i):** Disclose aggregate shareholding.
- Q138. B – Section 26B:** (Note: Section 26(2) regarding inferior courts was omitted; 26B mandates Special Courts).
- Q139. A – Section 15-I(2):** Give evidence or produce documents.
- Q140. A – Section 15T(5):** The Board, the parties, and the Adjudicating Officer.
- Q141. A – Section 2(e):** Member includes the Chairman.
- Q142. A – Section 11(2)(d):** Self-regulatory organizations.
- Q143. A – Section 15C:** Listed company or registered intermediary.

**Q144. B – Section 27(1) Proviso:** Offence committed without knowledge or exercised due diligence.

**Q145. A – Section 11(2)(k):** Levying fees or other charges.

**Q146. A – Section 12A(e):** Material or non-public information.

**Q147. A – Section 15HA:** Penalty for fraudulent and unfair trade practices.

**Q148. A – Section 11C(11):** Code of Criminal Procedure, 1973.

**Q149. A – Section 26A(2):** Single judge.

**Q150. A – Section 28A(1)(c):** Attachment and sale of immovable property.

**Q151. C – Section 15JB(4):** No appeal shall lie.

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